7. Income Taxes

Components of the Company's income tax provision (benefit) are as follows:

	Years Ended December 31,		
	2005	2004	2003
		(In millions)	
Current:			
Federal	$ 0.1	$ —	$ —
State	0.1	0.1	0.1
Foreign	6.2	8.1	7.5
Total current tax provision	6.4	8.2	7.6
Deferred:			
Federal	8.9	4.3	(8.4)
State	(0.3)	1.7	(0.1)
Foreign	0.3	(0.2)	(0.4)
Total deferred tax provision (benefit)	8.9	5.8	(8.9)
Total income tax provision (benefit)	$ 15.3	$ 14.0	$ (1.3)

Tax Benefits Excluded from Net Income

The amount of income tax benefit included in comprehensive income but excluded from net income relating to minimum pension liability for 2005, 2004, and 2003 was $1.7 million, $1.5 million, and $0.9 million, respectively.

The amount of income tax benefit included in stockholders' equity but excluded from net income relating to the expense for employee stock options recognized differently for financial reporting and tax reporting purposes for 2005, 2004, and 2003 was $0.0 million, $0.1 million and $0.4 million, respectively.

Deferred Tax Assets and Liabilities

Deferred income taxes reflect the net tax effects of temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for income tax purposes. Significant components of the Company's deferred tax assets and liabilities are as follows:

	December 31,	
	2005	2004
	(In millions)	
Deferred tax assets:		
Alternative minimum tax credits	$13.5	$13.4
Pension and other postretirement benefits obligation	18.4	17.6
Reserves, including insurance and product warranty	11.1	14.9
Book/tax inventory accounting	3.1	2.6
Accrued vacation	2.2	3.2
Excess tax basis on Koppers Australia assets	7.7	8.7
Asset retirement obligations	8.2	9.9
Net operating loss benefit	14.7	20.9
Capital loss benefit	2.0	2.0
Other	1.4	4.2
Valuation allowance	(7.2)	(8.9)
Total deferred tax assets	75.1	88.5
Deferred tax liabilities:		
Tax over book depreciation and amortization	11.5	23.7
Monessen Transaction	6.9	1.0
Other	4.8	4.2
Total deferred tax liabilities	23.2	28.9
Net deferred tax assets	$51.9	$59.6

A valuation allowance is provided when it is more likely than not that some portion or all of the deferred tax assets will not be realized. The Company has recorded a valuation allowance of $5.2 million for certain state net operating loss carryforwards anticipated to produce no tax benefit. Additionally, the Company has recorded a valuation allowance of $2.0 million for certain capital loss carryforwards expected to produce no tax benefit. During 2005, the valuation allowance was decreased to reflect the ability of the Company to utilize certain state net operating loss carryforwards prior to their expiration.

The Company has a federal net operating loss benefit of $8.4 million; of this amount, $5.0 million will expire at the end of 2023 and $3.4 million will expire at the end of 2024. The Company has a state net operating loss benefit of $6.3 million, which will expire from 2006 to 2025. The Company also has an alternative minimum tax credit carryforward of approximately $13.5 million that has no expiration date.

Income before income taxes for 2005, 2004 and 2003 included $22.4 million, $26.9 million and $22.6 million, respectively, from foreign operations.

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The provision for income taxes is reconciled with the federal statutory rate as follows:

	Years Ended December 31,		
	2005	2004	2003
Federal	35.0%	35.0%	(35.0)%
State, net of federal tax benefit	2.3	4.4	(0.1)
Foreign taxes	0.6	9.2	28.6
Non-deductible environmental fines and penalties	3.7	—	0.1
Deferred tax on foreign earnings not permanently reinvested abroad	4.1	—	—
Deferred tax adjustments	2.4	—	—
Change in tax contingency reserve adjustment	(1.4)	—	—
Change in valuation allowance	(3.5)	—	—
Other	(1.0)	2.0	(0.6)
	42.2%	50.6%	(7.0)%

The Company has not provided any United States tax on undistributed earnings of foreign subsidiaries or joint ventures that are reinvested indefinitely. At December 31, 2005 consolidated retained earnings of the Company included approximately $23 million of undistributed earnings from these investments. The Company recorded a deferred tax liability of $1.5 million in 2005 to reflect its decision to repatriate undistributed earnings from its Danish subsidiary.

Monessen Transaction

In December 1999 the Company entered into a transaction to transfer substantially all future non-conventional fuel tax credits generated as a result of the production and sale of coke at the coke facility in Monessen, Pennsylvania (the “Monessen Facility”) to a third party (the “Monessen Transaction”). For the year ended December 31, 2003 the Company received $0.1 million (prior year inflation adjustment) for the transfer of tax credits, which is recorded as other income. The tax credits expired at the end of 2002. Prior to the Monessen Transaction, the Company earned these credits. In June 2005, under the terms of the Monessen Transaction, the Company’s interest for certain tax purposes in the Monessen Facility, including any future non-conventional tax credits, became a 95% interest. Additionally, the non-conventional fuel tax credit provisions of the Internal Revenue Code applicable to the Monessen Facility were extended (with significant modifications) from 2006 through 2009. Further legislation with respect to non-conventional fuel tax credits is expected in 2006.

Koppers China Tax Holiday

As a result of being a Foreign Investment Enterprise in the manufacturing sector, the Company’s 60% owned joint venture in China is entitled to an income tax holiday under which it is exempted from corporate income tax for its first two profit making years (after deducting losses incurred in previous years), and is entitled to a 50% reduction in the corporate tax for the succeeding three years. The effect of the tax holiday on the Company’s net income for the years ended December 31, 2005 and 2004 (the first year Koppers China qualified for the tax holiday) were approximately $1.0 million and $0.7 million, respectively. Assuming Koppers China remains profitable, the tax holiday will expire on January 1, 2009.